

That was a bad year all around, even if we did beat the index. All in all, we lost US\$5 million for investors, after having been paid a million and change in fees, and now we’re in a drawdown again. No performance fees until we recover to fresh highs.

■ 2019

Being in a drawdown is always tough. It makes you feel as if you’re working for free, since you don’t get any performance fees until you get back up over that last high-water mark. We’re also in a tough spot since we haven’t really seen a proper victory since 2014. After the 50% return that year, we were heroes. Now, after four mediocre years, our annual Christmas card list is getting smaller and smaller.

The year is 2019 and after the mediocre stock markets of the previous year, we have built a bear market portfolio. We’re short equity indexes across the board and that is rather unfortunately going to be the driving force in the first part of this year (Tables 6.69 and 6.70, and Figure 6.104).

TABLE 6.69 Initial portfolio 2019		
Market	Direction	Sector
Lumber	Short	Agriculture
Lean Hogs	Long	Agriculture
Soybean Meal	Short	Agriculture
Live Cattle	Long	Agriculture
Soybean Oil	Short	Agriculture
Robusta Coffee	Short	Agriculture
Canola	Short	Agriculture
KC HRW Wheat	Short	Agriculture
Cotton No. 2	Short	Agriculture
Australian Dollar	Short	Currencies
Canadian Dollar	Short	Currencies
US Dollar Index	Long	Currencies
CBOE Volatility Index	Long	Equities
HS China E	Short	Equities
Nikkei 225 Dollar	Short	Equities
E-mini S&P MidCap 400	Short	Equities
E-mini Russell 2000	Short	Equities
CAC 40	Short	Equities
DAX	Short	Equities

(Continued)